

Best's Credit Rating Effective Date

December 16, 2025

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Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

Financial data in this report: (i) includes data of affiliated entities that are not rating unit members where analytics benefit from inclusion; and/or (ii) excludes data of rating unit member entities if they operate in different segments or geographic areas than the Rating Unit generally. See [list of companies](#) for details of rating unit members and any such included and/or excluded entities.

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

Humana Health Group

AMB #: 070832

Associated Ultimate Parent: AMB # 058052 - Humana Inc.

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)

A
Excellent
Outlook: Stable
Action: Affirmed

Issuer Credit Rating (ICR)

a
Excellent
Outlook: Stable
Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Adequate
Operating Performance	Strong
Business Profile	Favorable
Enterprise Risk Management	Appropriate

Rating Unit - Members

Rating Unit: Humana Health Group | **AMB #:** 070832

AMB #	Rating Unit Members
068925	CarePlus Health Plans, Inc.
064425	Cariten Health Plan Inc.
064760	CompBenefits Company
064759	CompBenefits Dental, Inc.
006118	CompBenefits Insurance Co
068645	Dental Concern, Inc.
064522	DentiCare, Inc.
060099	Humana Benefit Plan of IL
064068	Humana Employers Hth Pln of GA
009494	Humana Health Ins Co of FL

AMB #	Rating Unit Members
068573	Humana Health Plan of Ohio
068903	Humana Health Plan of Texas
068898	Humana Health Plan, Inc.
068835	Humana Hlth Benefit Plan of LA
060248	Humana Ins Co of Kentucky
060595	Humana Ins Co of New York
007574	Humana Insurance Company
068907	Humana Medical Plan, Inc.
068626	Humana WI Health Org Ins Corp
007254	HumanaDental Insurance Company

Rating Rationale

Balance Sheet Strength: **Adequate**

- The aggregate risk-adjusted capitalization of Humana's lead health and life companies is maintained at a weak level, as measured by Best's Capital Adequacy Ratio (BCAR). Over the last five years, strong premium growth has outpaced capital and surplus growth due to subsidiary dividends to the parent entity. The weak BCAR assessment is partially offset by solid liquidity measures and a prudent invested asset portfolio, resulting in an adequate balance sheet strength assessment.
- While premium has grown at an 11.2% compound annual growth rate (CAGR), capital and surplus has grown at a 9.8% CAGR over the last five years through robust earnings and capital contributions from the parent and is partially offset by subsidiary dividends to the parent organization. Capital modeling and stress testing are performed annually.
- Capital management is conducted at the enterprise level, as well as at individual insurance entities with targeted regulatory capital thresholds. The parent entity has sufficient liquidity to provide capital contributions to entities when necessary through its cash holdings, commercial paper program, access to debt markets, and non-regulated cash flows from Humana Inc.'s CenterWell segment.
- The group maintains a conservative investment allocation that is predominantly composed of investment-grade fixed-income securities and cash and short-term investments.

Operating Performance: **Strong**

- Although increasing medical cost trends, regulatory impacts and membership reductions have brought challenges to the Medicare Advantage and Medicaid businesses, operating results in years prior to 2024 were strong, and margins are expected to normalize through benefit reductions and a shift in membership mix. Overall operating performance remains positive.
- Premiums have grown annually over the last five years at a strong CAGR of 9.58%. The increase has been primarily driven by higher increased direct subsidy due to the IRA and higher per member state-based contracts. The favorable premium growth trend has continued through the first half of 2025.
- While underwriting income remains favorable, performance has trended adversely due to increasing medical cost trends in Medicare Advantage and Medicaid that have also impacted the broader industry since late 2023 and through the third quarter of 2025. Both the Medicare Advantage and Medicaid segments had seen very strong performance in years prior, but these trends are expected to pressure results over the next few years.
- Net investment income has increased in consecutive years due to the higher interest rate environment and has positively supplemented underwriting gains. Investment income generation is somewhat limited by the group's prudent invested asset profile.
- Profitability ratios remain solid, highlighted by a five-year return on equity metric of 18.7%.

Business Profile: **Favorable**

- Humana has a nationwide presence with strong brand recognition and is the second-largest Medicare Advantage carrier in the United States.
- Humana is somewhat susceptible to regulation in Medicare Advantage due to its high concentration of premiums in the segment. There is some diversification of business through Medicaid, specialty products like dental and vision, standalone Medicare Part D plans, and its non-insurance CenterWell segment. The organization made the decision to exit the commercial group segment in 2023 and has no remaining members in this segment as of the third quarter of 2025.
- The group has exhibited consistent membership growth in Medicare Advantage, as well as organic growth in Medicaid as a result of contract awards in new states.
- Growing Medicaid business in select geographies to support growth in dual Medicare and Medicaid eligible membership.
- Humana has concentrated on building its CenterWell senior-focused healthcare service capabilities to manage medical costs and improve outcomes and member experiences in order to sustain membership growth and retention.
- Long-term holder of the TRICARE East contract, which was recently renewed for an extended period.

Enterprise Risk Management: **Appropriate**

- Humana employs a well-developed enterprise risk management framework that has an established oversight and governance structure, as well as processes to identify risks, mitigate risks, and produce risk reporting.

- Governance includes oversight from the Audit Committee of the board and Humana's executive management team.
- Risk appetite and tolerance statements are well developed and affirmed annually by the board's Audit Committee. Both statements are considered in business and strategy planning and day-to-day operations.
- Stress and scenario testing is performed annually, and results are included in the Own Risk and Solvency Assessment (ORSA) report.
- Top enterprise risks are listed publicly on its Form 10-K and updated quarterly upon identification of new risks.

Outlook

- The stable outlooks reflect Humana Health Group's adequate balance sheet strength assessment, supported by positive operating results and favorable business profile as the second-largest insurer of Medicare Advantage business.

Rating Drivers

- Negative rating action could occur if there is a trend of negative overall balance sheet metrics.
- Negative rating action could occur if there is a sustained deterioration in operating results.
- Negative rating action could occur if there is weakening of the balance sheet metrics at the parent company, Humana Inc.
- While considered unlikely at this time, a positive rating action could occur if there is material and sustained improvement in risk-adjusted capital.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	24.4	-4.6	-15.8	-19.7

Source: Best's Capital Adequacy Ratio Model - Combined Life & Health, US

Year End - December 31

Key Financial Indicators USD (000)

	2024	2023	2022	2021	2020
Total Assets	23,756,185	23,512,213	21,302,200	18,479,543	18,054,897
Policy and Claim Reserves:					
Life and Annuity	10,892	14,509	10,948	9,590	9,682
Accident & Health	149,081	104,868	83,447	67,511	45,132
Health	9,176,742	9,386,704	8,392,012	8,091,909	7,900,043
Capital and Surplus	10,664,532	9,781,917	9,192,335	7,855,798	7,744,097
Total Revenues	92,269,168	84,123,767	72,827,582	66,457,660	63,132,526
Net Income	843,415	1,550,565	2,119,729	1,419,007	2,192,941
Net Operating Cash Flow	-1,897,935	2,653,471	4,699,722	307,777	3,300,679
Net Premiums Written:					
Life and Annuity	64,416	67,351	64,463	62,821	61,106
Accident & Health	893,804	799,234	636,505	455,457	255,827
Health	90,172,549	82,364,504	71,692,179	65,663,708	62,457,573
NPW Total	91,130,769	83,231,088	72,393,147	66,181,987	62,774,506

Source: BestLink® - Best's Financial Suite



BEST'S CREDIT REPORT

AMB #: 070832 - Humana Health Group

Year End - December 31

Key Financial Ratios

	2024	2023	2022	2021	2020	Weighted Average
Overall:						
Operating Return on Revenue (%)	0.9	1.9	3.0	2.0	3.4	2.1
Operating Return on Capital and Surplus (%)	8.1	16.7	25.4	17.2	30.1	18.7
Health Operations:						
Loss Ratio (%)	86.3	83.8	83.5	85.0	81.4	84.2
Administrative Expense Ratio (%)	12.9	13.8	12.5	12.1	14.0	13.1
Combined Ratio (%)	99.2	97.6	96.1	97.1	95.4	97.2
IBNR Coverage (Days)	28.6	29.7	30.0	22.0	23.6	...

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

Humana Health Group's balance sheet strength assessment is adequate, although risk-adjusted capitalization, as measured by Best's Capital Adequacy Ratio (BCAR), is maintained as weak at year-end 2024. Humana Health Group has seen strong growth in absolute capital and surplus over the last 5 years and through the third quarter of 2025. The company also boasts a high quality and highly liquid investment portfolio coupled with strong financial flexibility provided by its parent company, Humana Inc.

Capitalization

Risk-adjusted capitalization was maintained at weak for 2024, after decreasing from adequate to a weak assessment for 2023. It is expected to improve slightly through year end 2025, but ultimately remain at the weak assessment. The weakness in the BCAR has been driven by increases in required capital - brought on by strong premium growth - that have outpaced capital expansion over this period. Humana Health Group's net premiums grew by approximately 9.7% in 2024, slightly higher than their capital and surplus growth of 9% in 2024. In 2024, capital and surplus was positively impacted by profitability and retained earnings. Dividends and capital contributions are dispersed to ensure capital is appropriately managed across subsidiary entities and have varied based on net earnings, top line growth, and holding company cash requirements. Humana has established thresholds (above statutory minimums) through which it manages subsidiary dividends payments and capital contributions to its subsidiaries.

The group's capital and surplus has increased annually over the last five years, rising at a near double digit percentage compound annual growth rate over the period. Capital and surplus grew further through the later part of 2025, due to strong earnings. While AM Best anticipates Humana Health Group will continue to grow capital, growth may be limited in 2026, due to potential margin compression in Medicare Advantage (MA). This compression is likely to be driven by elevated MA and Medicaid medical cost trends, regulatory changes and pressures on pricing from the Centers for Medicare and Medicaid Services (CMS), and lower 2025 Star Ratings that will negatively impact bonus and rebate revenues and overall results in 2026 if the pending appeal is unsuccessful. While the company is not satisfied with its 2026 Star Ratings, it is pleased with the tactical operational improvements made during the final months of 2026 measurement period, which continues to build towards the company's expected return to Top Quartile results for the 2027 Star Ratings.

Liquidity metrics remain sound, as evidenced by overall and current liquidity ratios of 181.5% and 129.5%, respectively, at year-end 2024 and consistent net cash flow generation, which continued through 2025. Liquidity is further supported by Humana Inc.'s material cash position, commercial paper program, access to debt markets, and non-regulated cash flows through its Center Well segment. Furthermore, one of its entities maintains a borrowing capacity through the Federal Home Loan Bank of Cincinnati.

Balance Sheet Strength (Continued...)

Year End - December 31

Capital Generation Analysis USD (000)	2024	2023	2022	2021	2020
Beginning Capital and Surplus	9,781,917	9,192,335	7,855,798	7,744,097	6,684,335
Net Operating Gain	826,633	1,588,856	2,161,251	1,344,566	2,175,005
Net Realized Capital Gains (Losses)	16,782	-38,290	-41,522	74,441	17,935
Net Unrealized Capital Gains (Losses)	6,526	-10,037	-82,094	-1,513	-149,490
Net Change in Paid-In Capital and Surplus	1,338,950	433,500	285,000	275,000	294,000
Stockholder Dividends	-1,208,967	-1,477,668	-949,000	-1,494,250	-1,212,800
Other Changes	-97,310	93,220	-37,098	-86,543	-64,889
Net Change in Capital and Surplus	882,615	589,582	1,336,537	111,701	1,059,762
Ending Capital and Surplus	10,664,532	9,781,917	9,192,335	7,855,798	7,744,097
Net Change in Capital and Surplus (%)	9.0	6.4	17.0	1.4	15.9
Net Change in Capital and Surplus (5-yr CAGR)	9.8	...	...	...	...

Source: BestLink® - Best's Financial Suite

Year End - December 31

Liquidity Analysis (%)	2024	2023	2022	2021	2020
Overall:					
Operating Cash Flow Margin (%)	-2.1	3.2	6.5	0.5	5.2
Current Liquidity (%)	129.5	127.4	132.2	116.0	129.9
Health Operations:					
Benefit and Loss Related Payments to Net Premiums Collected (%)	88.1	84.2	83.7	86.7	78.6
General Expenses and Taxes Paid to Net Premiums Collected (%)	15.1	13.7	10.5	13.1	16.7
Premium Receivable Turnover (months)	0.1	0.1	...	...	...

Source: BestLink® - Best's Financial Suite

Year End - December 31

Leverage (%)	2024	2023	2022	2021	2020
Net Premiums Written to Total Capital and Surplus	8.5	8.5	7.9	8.4	8.1
General Account Liabilities to Total Capital and Surplus	1.2	1.4	1.3	1.4	1.3

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

The investments of the health insurance subsidiaries of Humana are managed at the parent level to ensure consistent investment policies and the alignment of investment strategies. The organization maintains a conservative approach to invested assets as they are primarily allocated to fixed income securities and cash and short-term investments. Almost all bonds held within these subsidiaries are of the highest quality and publicly traded, making the portfolio highly marketable and liquid.

As of year-end 2024, fixed income securities comprised roughly 93% of invested assets, with cash and short-term investments making up most of the remainder. 96.5% of the bond portfolio was allocated to investment grade issues. All of the portfolios equity holdings are affiliated and there are no holdings in publicly traded common stock. Real estate holdings and common stock as a percentage of capital were nominal

Balance Sheet Strength (Continued...)

Year End - December 31

Composition of Cash and Invested Assets	2024	2023	2022	2021	2020
Total Cash and Invested Assets USD (000)	17,278,387	17,880,613	16,318,191	12,345,028	13,367,529
Composition Percentages (%)					
Cash and Short Term Investments	4.4	18.4	22.2	13.1	26.0
Bonds	92.9	80.8	77.0	86.0	73.6
Preferred and Common Stock	0.1	0.1	0.1	0.1	...
Mortgage Loans	0.2	0.2	0.2	0.3	0.3
Other Invested Assets	2.4	0.5	0.6	0.5	0.1
Total	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Years

Bonds and Short Term Investments - Distribution by Maturity (%)	0-1	1-5	5-10	10-20	20+	Average (Years)
Government Bonds	1.3	7.3	5.8	0.1	0.4	5.2
Government Agencies and Municipal Bonds	4.2	10.3	7.1	5.9	1.7	7.5
Industrial and Miscellaneous Bonds	9.7	23.9	16.2	2.5	1.4	5.0
Bank Loans	...	2.3	...	...	...	3.0
Hybrid Securities	...	...	...	...	...	0.5
Total Bonds	15.1	43.8	29.1	8.5	3.5	5.7

Source: BestLink® - Best's Financial Suite

Year End - December 31

Bonds - Distribution by Issuer	2024	2023	2022	2021	2020
Bonds USD (000)	16,047,978	14,443,218	12,557,008	10,620,365	9,835,739
US Government (%)	14.6	11.7	3.9	2.2	3.3
Foreign Government (%)	0.8	0.8	1.0	0.5	...
State, Municipal & Special Revenue (%)	28.9	32.5	33.4	35.9	41.7
Industrial & Miscellaneous (%)	55.7	52.3	59.5	61.1	54.9
Hybrid Securities and Other (%)	...	...	0.1	0.3	0.1
Affiliated (%)	...	2.6	2.2	...	...
Total (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Holding Company Assessment

The holding company assessment is neutral. Humana Inc.'s stockholders' equity has grown in four of the last five years and totaled \$16.45 billion at year-end 2024, an increase of approximately 0.9% year-over-year from 16.3 billion at year-end 2023. The modest increase in 2024 was driven by net income of \$1.2 billion and partially offset by share repurchases and dividend payments. Equity growth has continued to trend favorably and totaled \$18.6 billion as of the third quarter of 2025. Equity growth has historically been attributable to favorable earnings and has been partially offset by share repurchases and stockholder dividends.

Humana's capital deployment remains flexible and so amounts expended for share repurchases have fluctuated. Humana deployed \$79 million in 2021, \$2.1 billion in 2022, \$1.6 billion in 2023 and \$800 million in 2024. As of November 2025, Humana expanded has remaining Board authorization of approximately \$2.8 billion. Humana's cash dividend payments to shareholders had been on an increasing trend but are expected to remain flat through 2025. In 2024, Humana paid \$431 million in dividends, remaining flat from \$431 million in 2023. Through the first nine months of 2025, Humana has paid dividends of \$321 million and expects to pay out a total of \$321 million through the end of 2025. Humana dividend payment per share remained at \$0.885 per share through year end 2025 after being raised in April 2023.

Balance Sheet Strength (Continued...)

Humana's financial leverage was 40.5% at December 31, 2024, down from 41.8% at December 31, 2023. Through 2025, leverage has remained flat at 41.8%. Leverage has been elevated since the financing for the acquisition of Kindred at Home. The \$5.7 billion transaction was funded by a combination of cash and debt. During the third quarter of 2022, Humana closed on a transaction where it sold a 60% stake in Gentiva (formerly Kindred at Home) hospice operations. \$1.9 billion of the proceeds from this transaction were used for debt repayment. On a long-term basis, Humana targets financial leverage of about 40%.

Humana has strong interest coverage and ability to service the debt through both its insurance operations and growing non-regulated healthcare delivery business. The company's earnings before interest and taxes (EBIT) interest coverage was more than adequate at 3.4 times at year-end 2024, dropping from 7.8 times at year-end 2023. EBIT interest coverage is expected to remain adequate over the near term, despite some margin pressures in Medicare Advantage, Humana's core business. The organization continues to produce solid earnings from both regulated and non-regulated operations that support debt service coverage. Humana's cash flows from operations totaled \$2.5 billion through the third quarter of 2025.

Humana's goodwill to equity remained flat at 58.3% at year-end 2023 and has further improved to 51.6% as of the third quarter of 2025, compared to 58.7 at year-end 2023. Goodwill to equity remains materially higher than historical levels as a result of the Kindred at Home acquisition. Moderation in this metric has been driven by the sale of the majority of Gentiva Hospice, as well as from equity growth through the third quarter of 2025. Financial flexibility remains good with liquidity and operating cash flows supplemented by dividends from subsidiaries, its revolving credit facility, active commercial paper program.

Humana manages its overall capital position at the parent company level, allocating capital to its operations as needed to support the various risk and growth objectives of the insurance and operating entities. Humana's insurance subsidiaries have paid dividends to the parent of \$1.5 billion and \$1.8 billion in 2024 and 2023, respectively. These have outpaced total capital contributions over the last two years.

Humana's total GAAP revenues increased by 10.7% to \$117.8 billion in 2024 from 106.4 billion in 2023. The main driver of revenue growth is enrollment gains in both Medicare Advantage and Medicaid and higher per member individual MA premiums. Services revenue from the organization's CenterWell operations improved significantly by 14.2% in 2024 due to growth in their primary care business. This comes after a decline in 2023 and 2022. The decline in 2022 primarily resulted from the divestiture of 60% ownership of Gentiva Hospice in August 2022. Total revenues have continued to trend favorably into 2025 as Humana reported year-over-year growth in both premium and services revenue. Premium revenue was up 9.8% as of the third quarter of 2025.

Humana reported consolidated GAAP net income of \$1.2 billion in 2024, which was a decrease from \$2.5 billion in 2023. The decrease was primarily driven by elevated medical cost trends in Medicare Advantage that impacted the broader industry. These trends have continued into 2025 as Humana reported consolidated net income of \$1.9 billion through the third quarter of 2025, relatively flat to compared to the third quarter of 2024.

Financial Leverage Summary - Holding Company

Financial Leverage Ratio (%)	40.50
Adjusted Financial Leverage Ratio (%)	39.00
Interest Coverage (x)	3.40

Operating Performance

Humana Health Group's operating performance assessment remains strong despite recent challenges in both MA and Medicaid managed care (Medicaid). The company remains committed to margin restabilization in their Individual Medicare Advantage segment, targeting a 3% pretax margin (Excluding STARS) through 2028. Enrollment growth was negative in 2024, driven mainly by decreases in Medicare stand-alone PDP offerings and specialty membership. While utilization headwinds in MA are on the forefront, the group is still expected to remain profitable.

Humana Health Group has reported consistent top line growth in each of the last five years as net premiums written have grown at a near double digit compound annual growth rate over that period. The organization announced it was exiting its commercial block in 2023, but enrollment has continued to trend favorably due to strong increases in MA enrollment, its core business through 2025. However, their Medicare Advantage has declined through the first three quarters of 2025, mainly driven by the company's decision to exit certain unprofitable plans and counties. Insurance segment revenue has continued to grow into 2025 as insurance segment revenue growth (GAAP) was up 9% year-over-year as of the third quarter of 2025 primarily driven by higher per member Medicare

Operating Performance (Continued...)

premiums, largely driven by an increased direct subsidy due to the IRA, and higher per member state-based contracts premiums, as well as membership growth in the state-based contracts and stand-alone PDP businesses. These factors were partially offset by the membership decline within the individual Medicare Advantage business. In 2025, enrollment decreases have been driven by individual Medicare Advantage. PDP has increased due to shifting competitive dynamics. The greater organization also generates material revenue from its non-regulated CenterWell segment and administrative services for the TRICARE East contract.

Net underwriting income decreased heavily to \$52 million in 2024 from \$1.3 billion in 2023 mainly due to the continued impact of elevated medical cost trends in Medicare Advantage and state-based contracts in the 2024 period. Humana's GAAP insurance segment benefit ratio increased to 90.4% from 88.0% in 2024 and improved moderately to 89.5% as of the third quarter of 2024. The medical cost trend increase has been driven by higher benefit utilization, likely brought on by increased utilization and acuity after deferrals of preventative care during the COVID-19 pandemic, as well as regulatory factors. A new Medicare risk model, V28, is being phased in by the Centers for Medicare and Medicaid Services (CMS), which has reduced eligible diagnosis codes. .

Leading into 2026, utilization is likely to remain somewhat elevated and other regulatory factors are likely challenge return margins. The company views their Star rating decline for BY 2026 as a headwind but mentions they remain on track to return to the top quartile of ratings. To mitigate these headwinds the company is committed to doubling their individual MA pre- tax margin (normalizing for Stars) through pricing, clinical excellence and operating leverage. The company is also going to begin Group MA re-contracting, to reflect current reimbursement levels and cost trends. The organization is also known for industry-leading Stars ratings, which provide valuable bonus and rebate revenues that can be used toward enhancing plan benefits or reducing premiums. While the Company is not satisfied with its 2026 Star Ratings, it is pleased with the tactical operational improvements made during the final months of the 2026 measurement period, creating a solid foundation for the Company's expected report improved results for the 2027 Star Ratings. While margin pressure is expected to persist over the next few years for these reasons, overall profitability is still anticipated. Furthermore, the group had reported strong results prior to 2023 due to a moderation in medical utilization after the pandemic and material enrollment growth.

Year End - December 31

Net Operating Gain by LOB - Life Operations USD (000)

	2024	2023	2022	2021	2020
Group Life	11,926	10,129	9,334	2,631	11,924
Accident & Health	-67,198	-33,220	-1,250	-10,297	-416
Total	-55,272	-23,092	8,084	-7,666	11,508

Source: BestLink® - Best's Financial Suite

Year End - December 31

Net Underwriting Gain - Health Operations USD (000)

	2024	2023	2022	2021	2020
Comprehensive	...	...	-68,492	-252,535	87,595
Dental	-32,785	7,876	40,287	43,586	79,157
Vision	239	1,935	17,521	23,225	29,158
Federal Employee Health Benefit Plan	-15,227	8,008	6,111	20,105	18,477
Medicare	401,510	1,340,386	2,129,015	1,788,002	2,494,364
Medicare Supplement	-46,030	22,555	7,270	-43,181	-8,366
Medicaid	-56,197	135,519	188,891	197,811	84,401
Other Health	18,590	-104,038	-85,451	-280,691	-188,065
Other Non-Health	-4,628	-9,047	-10,113	-4,216	...
Total	123,306	1,273,878	2,225,040	1,492,107	2,596,720

Source: BestLink® - Best's Financial Suite

Business Profile

Humana Health Group's business profile is assessed as favorable. While the group has concentration of business in Medicare Advantage, Humana is the second largest Medicare Advantage insurer in the US. Humana's Medicare Advantage plans have generally been industry-leading in terms of Star Ratings and the decline in Star Ratings for 2025 is expected to be temporary. The company is confident in a return to Top Quartile results is supported by the solid operational progress made for the 2026 MA Star Ratings,

Business Profile (Continued...)

combined with further improvements made for the 2027 MA Star Ratings. These improvements reflect a fundamental shift in the Company's Stars program, based in strategic choices, data and analytics, and an "always-on" approach to Stars improvement. High-quality Star Ratings drive product value to members. Humana is also a long term holder of the TRICARE East contract covering almost 6 million active members of the military and their families.

The Humana health insurance companies primarily provide Medicare Advantage and Medicaid throughout the United States, as well as stand-alone Medicare Part D prescription drug plans and specialty benefits, such as dental and vision. Medicare Advantage plans are offered in all 50 states and territories, with some geographies offering various degree of coverage options. Humana's Medicaid business consists of contracts in Kentucky, Illinois, Florida, Ohio, South Carolina, Louisiana, Wisconsin, Oklahoma, and Indiana. The operations of the Humana health companies are part of Humana Inc.'s Insurance segment.

Humana manages its business in two reporting segments: Insurance and CenterWell.

The Insurance Segment consists primarily of Medicare benefits marketed to individuals, including Medicare Advantage, Medicare Stand Alone Prescription Drug Plan (Part D), and Medicare Supplement plans, as well as Group Medicare Advantage and state-based Medicaid. This segment had over 15 million members at year-end 2024. Medicare Advantage products offered to individuals include health maintenance organizations (HMO), preferred provider organizations (PPO), and private fee-for-service (PFFS). Humana's individual standalone Part D product offerings include a product that is co-branded with Wal-Mart Stores, Inc. Humana also provides Medicare Advantage and standalone Part D to employer groups for retiree health benefits. This segment also includes state-based Medicaid programs and Humana's Medicare Supplement business. Additionally, the Insurance segment includes the company's contract with the Centers for Medicare and Medicaid Services (CMS) to administer the Limited Income Newly Eligible Transition prescription drug plan program and contracts with various states to provide Medicaid, dual eligible, and Long-Term Support Services benefits, collectively, its state-based contracts. Medicaid enrollment totaled 1.7 million members as of the third quarter of 2025, with Humana having contracts in Kentucky, Illinois, Florida, Ohio, South Carolina, Louisiana, Wisconsin, Oklahoma, and Indiana. While Medicaid redeterminations have had a negative impact on enrollment, new contracts have offset enrollment losses. The company believes it is well positioned to gain market share in Medicaid by leveraging their capabilities in population health, chronic care management, and value-based solutions; especially for dual eligible contracts.

The Insurance segment also includes employer group fully insured medical plans, specialty health insurance benefits, including dental, vision, and other supplemental health. Commercial business will continue to decline as a result of the organization's decision to exit the market in 2023. Humana also administers military services business through its TRICARE T2017 East Region contract (T2017) awarded to Humana in 2016, effective January 2018. The contract comprises 32 states and approximately 6 million beneficiaries. The structure is a cost-plus-incentive fee contract, and some of the terms are that plan participants to handle all referrals to outside providers electronically and require access by private providers to national standards in the forthcoming commercial electronic health record being implemented by the military's own treatment facilities sponsored by the Defense Healthcare Management System. The T2017 contract is a five year contract expiring at year-end 2024, unless further extended. Humana was also awarded the T-5 East Region contract in 2022, which is composed of 24 states and Washington D.C. and has roughly 4.6 million members. This will overlap the final year of the T2017 contract and include one transition year, and eight subsequent annual option periods.

The CenterWell segment comprises the majority of Humana's non-regulated healthcare services businesses, which include services offered to the company's health plan members, as well as third parties, such as pharmacy solutions, primary care services, and home solutions. This segment also has the organization's strategic partnership with Welsh, Carson, Anderson & Stowe to develop and operate senior-focused primary care centers. CenterWell Pharmacy operates prescription mail order services. Also included is CenterWell Specialty Pharmacy and retail pharmacies located within CenterWell Primary Care clinics. Provider services encompasses physical primary care centers in a number of states. These centers include 344 care clinics under the Conviva Care Centers and CenterWell Senior Primary Care brands. Home solutions include businesses and capabilities brought into the Humana organization through the Kindred At Home acquisition, which was renamed CenterWell Home Health.

Humana's core strategic plan is for its growth in its Medicare Advantage and Medicaid businesses to be supported by its integrated care delivery model. The company has strengthened its care delivery capabilities through a series of acquisitions. Some past transactions supporting Humana's integrated delivery evolution include: SeniorBridge Family Companies, Inc., MCCI Holdings, LLC, Metropolitan Health Networks Inc., and American Eldercare Inc. SeniorBridge Family Companies, Inc., or SeniorBridge, is a chronic-care provider of in home care for seniors, which expanded Humana's existing clinical and home health capabilities and strengthened its offerings for members with complex chronic care needs. MCCI Holdings, LLC, or MCCI, is an ACO headquartered in Miami, Florida that coordinates medical care for Medicare Advantage and Medicaid beneficiaries primarily in Florida and Texas. Metropolitan Health Networks Inc. (Metropolitan) is a medical services organization that provides and coordinates medical care for Medicare Advantage, Medicaid and other beneficiaries, primarily in Florida, utilizing a primary care centric business model. Metropolitan's integrated care delivery system

Business Profile (Continued...)

included 35 state-of-the-art primary care medical centers and a robust network of affiliated physicians serving mainly Humana members. American Eldercare Inc. is the largest provider of nursing home diversion services in the state of Florida (serving frail and elderly individuals in home and community-based settings). American Eldercare complements Humana's core capabilities and strengths in servicing seniors and disabled individuals with individualized and integrated care, and has contracts to provide Medicaid long-term care services across the state of Florida.

In 2018, Humana acquired Family Physicians Group (FPG), an at-risk provider serving Medicare Advantage and Managed Medicaid HMO beneficiaries in the Greater Orlando, Florida area and operating 22 clinics. Humana announced a similarly structured deal for Kindred at Home to acquire privately-held Curo Health Services (Curo Health), a North Carolina-based hospice provider operating in 22 states with 245 locations. The consortium of Humana, TPG Capital and Welsh, Carson, Anderson & Stowe intends to merge Curo Health with its CenterWell Home Health.

In 2020, Humana expanded its pharmacy business with the acquisition of Enclara Healthcare, one of the largest hospice pharmacy and benefit management providers. Also in 2020, Humana and Welsh, Carson, Anderson & Stowe entered into a joint venture where their partnership is meant to create better health outcomes for members by leveraging Welsh, Carson, Anderson & Stowe's healthcare expertise to expand access to value-based primary care for Medicare patients. With innovation on forefront, Humana announced a partnership with Epic, a privately-owned healthcare software, which will help increase quality and timeliness of data exchanges, eliminate inefficiencies, and improve provider access to claims.

In May 2021, Humana announced the full acquisition of Kindred At Home for which it previously owned a minority stake of 40% interest, along with a consortium of two private equity firms, TPG Capital and Welsh, Carson, Anderson & Stowe. The transaction for the remaining 60% share of Kindred at Home was completed in August 2021 and significantly enhanced Humana's home healthcare service capabilities. In August 2022, Humana completed the sale of a 60% stake in Kindred At Home's hospice operations which has been rebranded Gentiva.

Beginning in 2021, Humana began re-branding its payer-agnostic Healthcare Services segment with the "CenterWell" brand. In 2021, Humana launched CenterWell Primary Care, which includes the former Partners in Primary Care, Family Physicians Group and other primary care practices. Humana Pharmacy and Humana Specialty Pharmacy were renamed CenterWell Pharmacy and CenterWell Specialty Pharmacy in June 2022. In September 2022, Humana rebranded the home health division of Kindred At Home as CenterWell Home Health.

Year End - December 31

Net Premiums Written by Line of Business USD (000)

	2024	2023	2022	2021	2020
Group Life	64,416	67,351	64,463	62,821	61,106
Accident & Health	893,804	799,234	636,505	455,457	255,827
Comprehensive	404,597	2,782,419	3,472,861	3,968,467	5,018,064
Dental	650,891	687,331	704,543	701,607	700,612
Vision	148,479	159,302	163,493	164,825	160,050
Federal Employee Health Benefit Plan	53,093	183,496	190,669	225,270	246,091
Medicare	77,611,933	68,905,424	58,386,139	52,272,233	48,226,432
Medicare Supplement	793,934	714,835	727,187	717,662	674,780
Medicaid	7,291,881	6,275,624	5,181,836	4,609,366	4,074,047
Other	3,217,740	2,656,072	2,865,450	3,004,278	3,357,496
Total	91,130,769	83,231,088	72,393,147	66,181,987	62,774,506

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

Humana's enterprise risk management (ERM) program is appropriate. The organization's approach employs a well developed framework that has an established oversight and governance structure, as well as processes to identify risk, establish risk mitigation tactics, and produce risk reporting. Humana's ERM program includes a mature risk culture that is established throughout the organization.

Enterprise Risk Management (Continued...)

Key elements of the program include: governance that includes oversight from the Audit Committee of the Board and Humana's executive management team; enterprise wide processes for risk identification, mitigation, monitoring, and reporting of risk; and business/strategic planning that considers risks, risk scenarios, risk mitigation, and risk appetite.

Governance is lead by Humana's Chief Legal Officer and Chief Risk Officer. The company uses a three lines of defense model to delegate responsibility for critical risk management processes across the organization. The first line of defense is comprised of the front line business and operational staff and management. The second line of defense is led by the Chief Legal Officer who has responsibility for Law, Risk and Compliance (LR&C). Humana's Chief Risk Officer heads the Enterprise Risk Management Team (ERM team) within LR&C. The third line of defense is Humana's Internal Audit Consulting Group.

Risk identification is completed through enterprise and segment level risk workshops. The company organizes risk into 23 key risks areas. These assessments include first line process monitoring, second line testing, and third line audits. Assessments also include risk prioritization. The ERM team does bi-annual risk assessments with risk owners to make sure risks have not changed or have a different priority level. Throughout the process, emerging risks are identified with a time horizon and monitored as necessary. Scenario analysis is also a part of the identification and assessment process.

The ERM team documents all mitigation plans and controls in place, tests effectiveness, and records all identified issues, audit findings, or control failures. First line designs/modifies mitigation plans. Second line monitors and reports on effectiveness of mitigation and the third line conducts testing. The ERM team regularly updates reports and provides them to the Audit Committee of the Board. Reporting includes key metrics and limits, dashboards, and scorecards. There is also reporting on exceptions and escalations. The ERM team is also responsible for annually completing the ORSA report.

The Company's Risk Appetite Statement and tolerances are well developed and are utilized to clarify risk boundaries and objectives, which are formally reviewed and affirmed annually by the Audit Committee and incorporated into the senior management strategic decision-making process.

Stress and scenario testing is conducted as part of the annual testing requirement for the ORSA report. Actuarial and finance teams develop scenarios and run tests. Scenarios tests include Humana-specific tests, as well as general industry/economic scenarios.

Environmental, Social & Governance

Humana completes an Impact Report annually. Aspects of the study results are included in Humana's ESG disclosures. As an organization primarily operating in the healthcare industry, a key aspect of ESG for the organization is the social component. The company has strategies around social determinants of health, expanding access to affordable, quality healthcare. Humana has a foundation that supports the communities it operates in with projects to provide support for natural disasters, food security, health equity advancement, and access to mental health resources. Diversity, equity, and inclusion are important to Humana as an employer and their ability to serve their members. The company has targets for greenhouse gas emission reduction and for waste diversion as part of its environmental impact goals. Humana has a good governance structure within its ERM program to manage and address risk in its operations and ongoing business objectives.

Financial Statements

Year End - December 31

	2024		2023	
Balance Sheet	USD (000)	%	USD (000)	%
Cash and Short Term Investments	767,659	3.2	3,298,756	14.0
Bonds	16,045,448	67.5	14,443,186	61.4
Preferred and Common Stock	9,161	...	12,644	0.1
Other Invested Assets	456,119	1.9	126,027	0.5
Total Cash and Invested Assets	17,278,387	72.7	17,880,613	76.0
Premium Balances	2,045,822	1.9	1,578,367	1.6
Healthcare and Other Receivables	1,954,576	8.2	2,103,440	8.9
Other General Account Assets	2,477,401	10.4	1,949,793	8.3
Total General Account Assets	23,756,185	100.0	23,512,213	100.0
Total Assets	23,756,185	100.0	23,512,213	100.0
Policy and Claim Reserves	9,336,715	39.3	9,506,081	40.4
Funds Held Under Reinsurance and Coinsurance Agreements	9,307	...	8,804	...
Asset Valuation Reserve	862	...	1,010	...
Accrued Expenses and Other General Account Liabilities	3,744,768	15.8	4,214,401	17.9
Total General Account Liabilities	13,091,653	55.1	13,730,296	58.4
Total Liabilities	13,091,653	55.1	13,730,296	58.4
Capital Stock	34,583	0.1	34,583	0.1
Paid-In and Contributed Surplus	6,553,182	27.6	5,214,232	22.2
Unassigned Surplus	4,076,617	17.2	4,532,952	19.3
Other Surplus	150	...	150	...
Total Capital and Surplus	10,664,532	44.9	9,781,917	41.6
Total Liabilities, Capital and Surplus	23,756,185	100.0	23,512,213	100.0

Source: BestLink® - Best's Financial Suite

Year End - December 31

Income Statement USD (000)	2024	2023
Net Premiums Earned	91,347,016	83,255,657
Other Revenues	-4,419	-8,779
Net Investment Income	926,571	876,890
Total Revenues	92,269,168	84,123,767
Net Incurred Benefits	79,530,857	70,517,955
Commissions and Expense Allowances	48,846	35,893
Insurance and Other Expense	11,694,862	11,445,478
Pre-Tax Net Operating Gain	994,603	2,124,442
Income Taxes Incurred	167,969	535,586
Net Operating Gain	826,633	1,588,856
Net Realized Capital Gains (Losses)	16,782	-38,290
Net Income	843,415	1,550,565

Source: BestLink® - Best's Financial Suite

Statement of Operating Cash Flows USD (000)	Year End - December 31	
	2024	2023
Net Premiums Collected	90,614,646	83,145,677
Other Revenue Received	-4,628	-9,029
Net Investment Income	937,192	891,901
Total Income Collected	91,547,210	84,028,548
Net Benefits and Loss Related Payments	79,794,804	70,002,736
Underwriting and Other Expenses Paid	13,340,586	10,853,965
Income Taxes Paid (Recovered)	309,755	518,376
Net Operating Cash Flow	-1,897,935	2,653,471

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025](#)

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